STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of the Brooklyn Union Gas Company d/b/a National Grid NY for Gas Service	**:**	**Case No. 19-G-0309**
Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corp. d/b/a National Grid for Gas Service	**:**	**Case No. 19-G-0310**

REBUTTAL TESTIMONY

OF

RICHARD A. BAUDINO

ON BEHALF OF

THE CITY OF NEW YORK

J. KENNEDY AND ASSOCIATES, INC.

SEPTEMBER 18, 2019

Q. PLEASE STATE YOUR NAME AND BUSINESS ADDRESS.

A. My name is Richard A. Baudino. My business address is J. Kennedy and Associates, Inc., 570 Colonial Park Drive, Suite 305, Roswell, Georgia 30075.

Q. DID YOU FILE DIRECT TESTIMONY IN THIS PROCEEDING?

A. Yes. I filed Direct Testimony on behalf of the City of New York, or City, as part of the New York City Rate Design Panel.

Q. WHAT IS THE PURPOSE OF YOUR REBUTTAL TESTIMONY?

A. The purpose of my Rebuttal Testimony is to respond to the Direct Testimony of Danielle Panko, witness for the Utility Intervention Unit ("UIU"). I will also respond to a rate design recommendation contained in the Direct Testimony of the Staff Rates Panel ("SRP"). Finally, I support in concept a recommendation by the Staff Earnings Adjustment Mechanism Panel ("EAM") Panel that proposes to revise the Peak Demand Reduction EAM.

Within my Rebuttal Testimony, I refer to the Brooklyn Union Gas Company and KeySpan Gas East Corporation as KEDNY and KEDLI, respectively. I refer to both KEDNY and KEDLI as either National Grid or the Companies.

UIU WITNESS PANKO

Q. ON PAGE 28, LINES 16 THROUGH 19 OF HER DIRECT TESTIMONY, MS. PANKO RECOMMENDS "USING BOTH THE RESULTS OF THE PRO-FORMA GAS ECOS STUDIES WHICH CLASSIFY DISTRIBUTION MAIN COSTS AS 100% DEMAND-RELATED AND THE RESULTS OF THE ECOS STUDIES PROPOSED BY THE COMPANIES, WHICH USE THE MINIMUM SYSTEM APPROACH." SHOULD THE NEW YORK PUBLIC SERVICE COMMISSION ("COMMISSION") ADOPT THIS RECOMMENDATION?

A. No. The recommendation to utilize an ECOS study that allocates distribution mains based on 100% demand should be rejected by the Commission.

Q. MR. BAUDINO, PLEASE EXPLAIN WHY ALLOCATING DISTRIBUTION MAINS COSTS BASED ON PEAK DEMAND ONLY IS INAPPROPRIATE.

A. The two main functions of distribution mains are to deliver gas during the system winter peak and to connect customers to the system. A properly designed zero-intercept study or minimum size system study recognizes these two functions by classifying main costs into demand-related and customer-related costs, which can then be assigned to customer classes based on their respective contributions to system peak and on the number of customers in each class.

Peak winter demand is one of the primary drivers of the Companies' investment in gas distribution mains. The Companies must have sufficient capacity available on their systems to satisfy the peak winter heating demand, which is caused mainly by heating customers. If the peak winter demand increases, the Companies may need to invest in additional mains to serve the load. During the non-winter months, substantial excess capacity exists on the system. Use of the Companies' distribution system during these months does not cause additional fixed costs to be incurred by National Grid. In a similar manner to peak winter demand, if the number of customers increases, the Companies may need to expand their distribution system investment. Thus, the number of customers connected to the distribution system is another important causative factor in distribution main investment.

Q. PLEASE CONTINUE.

A. The KEDNY and KEDLI Rate Design Panels ("RDP") described the rationale for the

allocation of distribution mains as follows:

> "Distribution mains are installed to connect customers to the distribution system (customer-related) as well as to provide capacity to meet customer requirements on the design day (demand-related). Therefore, the cost of mains is classified as partly customer-related and partly demand-related."[1]

Similarly, the NARUC *Gas Distribution Rate Design Manual* states the following with respect to demand or capacity related costs:

> Demand or capacity costs vary with the quantity or size of plant and equipment. They are related to maximum system requirements which the system is designed to serve during short intervals and do not directly vary with the number of customers or their annual usage. Included in these costs are: the capital costs associated with production, transmission and storage plant and their related expenses; the demand cost of gas; and most of the capital costs and expenses associated with that part of distribution plant not allocated to customer costs, such as the costs associated with distribution mains in excess of the minimum size.[2]

Q. IS THE MINIMUM SIZE DISTRIBUTION SYSTEM METHOD AND ZERO INTERCEPT METHOD THE SAME THING?

A. In concept, yes they are the same. The minimum size system approach identifies the minimum sized distribution main needed to serve customers and then classifies that portion of distribution mains as customer-related. The zero intercept method uses regression analysis to identify the cost of a hypothetical "zero sized" main, the cost of which is necessary to serve customers connected to the system whether or not they place any demand on the system. While there may be subtle differences between the two methods, both recognize that certain distribution main costs should be classified as customer-related and allocated based on the number of customers not on peak demand.

[1] KEDNY Rate Design Panel Direct Testimony at page 17, lines 9 through 12.

[2] *Gas Distribution Rate Design Manual*, NARUC Staff Subcommittee on Gas (June 1989), pp. 23-24.

Q. WHAT IS THE RESULT OF FAILING TO RECOGNIZE A CUSTOMER-RELATED COMPONENT IN THE COST OF DISTRIBUTION MAINS?

A. The result is a significant misallocation of costs that fails to allocate proper cost responsibility to the Company's customer classes. This point can be illustrated with the following simple example. Assume that there is a single industrial customer on KEDNY's system with a peak demand of 300 dekatherms ("Dth"). Further assume that elsewhere on the system, there is a neighborhood of 750 residential customers with a peak demand of 300 Dth. In order to connect all of those residential customers to its system, the Company will have to invest in far more footage of distribution mains for those customers than it would have to invest in for the one industrial customer. That extra investment in distribution mains is due solely to the number of customers on the system, not the peak demands of those customers.

Q. HAS THE COMMISSION RECOGNIZED THE APPROPRIATENESS OF A CUSTOMER COMPONENT IN THE COST OF GAS DISTRIBUTION MAINS?

A. Yes. The Commission has accepted the use of a minimum size system concept to classify and allocate distribution costs in past cases.

Q. CAN YOU PROVIDE A FEW EXAMPLES OF HOW THE COMMISSION HAS ALLOCATED DISTRIBUTION MAIN COSTS IN THE PAST?

A. Yes. In Case 94-G-0885, a National Fuel Gas Distribution Corporation ("NFG") proceeding, the Commission approved both the Administrative Law Judge's approval of NFG's use of the zero intercept method and corresponding rejection of proposals to allocate distribution

costs on the basis of demand.[3] The Commission noted that:

> The Judge also rejected CPB's and PULP's attempt to impeach NFG's cost study. While they criticized the minimum distribution system concept it employed, the Judge found that it makes some sense because clearly no customer can be served without distribution facilities, and the company's approach effectively emphasized the 'minimum' in the minimum distribution system.[4]

The Commission held that "the true interests of residential customers would not be served by over allocating costs to nonresidential customers with competitive alternatives, whose load might thus be lost."[5]

Similarly, in Case 93-G-0162, a Niagara Mohawk proceeding, the Commission declined to sustain objections to the Company's cost studies which allocated minimum system costs and service line costs on a customer basis.[6] The Commission held that the "company's cost estimates are the best presented in the record in these cases."[7]

Q. HAS THE COMMISSION PREVIOUSLY REJECTED A PROPOSAL TO CLASSIFY ALL DISTRIBUTION COSTS AS DEMAND RELATED?

A. Yes. In a Central Hudson Gas & Electric Corporation ("Central Hudson") 2008 rate case, the Commission approved the Administrative Law Judge's recommendation for the continued use of the zero-intercept method and rejected Staff's proposal to allocate

[3] Case 94-G-0885, Proceeding on Motion of the Commission as to the Rates, Charges, Rules, and Regulations of National Fuel Gas Distribution Corporation for Gas Service, Op. No. 95-16 (issued September 21, 1995) at 49-50, 53; *see also* Recommended Decision (issued June 15, 2005) at 86-93.

[4] Case 94-G-0885, supra, Op. No. 95-16 (issued September 21, 1995) at 49-50.

[5] *Id*. at 53.

[6] Case 93-G-0162, Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Niagara Mohawk Power Corporation for Gas Service, Op. No. 94-13 (issued May 12, 1994) at 41-45.

distribution costs on the basis of demand. The Commission noted the following:

> Staff proposed to reclassify gas distribution main costs for purposes of the pro forma embedded cost of service study by assigning them entirely to the demand component of rates. Currently, based on the zero-intercept methodology that Central Hudson has used since at least 1990, those costs are classified 55% to the customer component of rates and only 45% to the demand component. Because gas mains constitute 20% of the total cost of gas service, the reclassification results in a very large shift in cost responsibility from residential customers to large gas users. The RD noted that both the existing and proposed methodologies are deemed acceptable by NARUC with no indication that one or the other is superior. It concluded that such a large shift in cost responsibility should not be adopted without compelling evidence that it is necessary to rectify some serious inequity... We have stated repeatedly that we strive to match cost responsibility with cost causation.... At the same time, as we discuss in connection with customer charges and the common cost allocation ratio, we have consistently taken a gradual approach when a sudden, full correction would create unacceptable bill impacts. That situation clearly exists here. Finally, although we find the arguments persuasive as to the assignment of a greater proportion of gas mains costs to the demand component, we are not convinced on this record that no mains costs should be classified as customer related. Accordingly, we direct that for the purpose of setting rates in this case, the allocation of gas mains costs should be 65% demand and 35% customer. This is consistent with the ratio that we adopted for National Grid in approving a Joint Proposal in its recent gas rate case.[8]

Q. DID CENTRAL HUDSON ALSO USE THE ZERO INTERCEPT METHOD IN ITS MORE RECENT RATE CASES?

A. Yes. In its 2014 and 2017 rate cases, Central Hudson used the zero intercept method to support classifying 35% of its distribution mains as a customer-related cost.[9]

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[7] *Id*. at 44.

[8] Cases 08-E-0887, 08-G-0888, 09-M-0004, Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Central Hudson Gas & Electric Corporation for Electric Service, et. al., Order Adopting Recommended Decision with Modifications (issued June 2009) at 46-48; *see also*, Recommended Decision at 104-107 (issued April 2009).

[9] Case 14-G-0319, Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Central Hudson Gas & Electric Corporation for Gas Service, and Case No. 17-G-0460, Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of

Q. DO OTHER NEW YORK UTILITIES ALSO RECOGNIZE A CUSTOMER COMPONENT OF DISTRIBUTION MAINS?

A. Yes. Niagara Mohawk Power Corporation d/b/a National Grid used the zero intercept method in three prior gas rate cases. In those cases, 45.5% of distribution mains were classified as customer-related costs.[10] Finally, the revenue allocations contained in the Joint Proposals approved by the Commission in the last National Grid cases, Cases 16-G-0058 and 16-G-0059, were based on the Companies' ECOS studies, which utilized the minimum distribution system.[11]

Q. DID MS. PANKO PROVIDE THE COMMISSION WITH A REVENUE ALLOCATION PROPOSAL?

A. No, nothing specific. On page 35, Ms. Panko recommended that the revenue allocation process "consider the output, or results, of both of the Companies' filed pro-forma ECOS studies (including the study that allocates distribution main as 100% demand-related)." On page 36, Ms. Panko testified that she provided "illustrative analysis" in her Exhibit ___(DP-1) showing class revenue allocations using boundaries of 0.75 and 1.25 for KEDNY and 0.5 and 1.5 for KEDLI. Ms. Panko concluded her revenue allocation discussion on page 37, and

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Central Hudson Gas & Electric Corporation for Gas Service.

[10] Case 08-G-0609, Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Niagara Mohawk Power Corporation for Gas Service; Cases 12-E-0201, 12-G-0202, Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Niagara Mohawk Power Corporation for Electric and Gas Service; Case 17-G-0239, Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Niagara Mohawk Power Corporation for Electric and Gas Service.

[11] Cases 16-G-0058 et. al, Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of KeySpan Gas East Corporation d/b/a National Grid for Gas Service, et. al., Order Adopting Terms of Joint Proposal and Establishing Gas Rate Plans (issued December 16, 2016) at 38.

recommended that the Commission set specific boundaries around the base delivery revenue change applied to individual service classes to "reflect the magnitude of the delivery increase that is ultimately adopted by the Commission in these proceedings."

I conclude from my review of Ms. Panko's Exhibit ___(DP-1), as well as her discussion of the various boundaries the Commission could use to allocate service class increases, that she did not provide the Commission with any firm guidance or methodology for allocating revenue increases to KEDNY and KEDLI service classes.

STAFF RATES PANEL

Q. BEGINNING ON PAGE 41, LINE 20 THE SRP DISCUSSED ITS APPROACH TO FIRM RATE DESIGN. PLEASE BRIEFLY SUMMARIZE STAFF'S APPROACH.

A. The SRP agreed with National Grid's proposal to gradually reduce the slope of its declining block rate structure. However, because the Staff's overall revenue requirement for KEDNY and KEDLI is significantly lower than National Grid's proposed revenue requirement, the SRP proposed to modify the Companies' proposal in order to "more aggressively flatten the rate blocks."[12] With respect to KEDNY Service Classes 1A, 1B, 2-1, 2-2, 3 and 4B, the SRP recommends holding the minimum charge constant, with the tail and mid-block rates changing, to effect a 20 percent movement towards flat block rates. With respect to KEDLI Service Classes 1A, 1B, 2A, 2B, 3 and 16, the SRP recommends holding the minimum charge constant and increasing the tail block and/or decreasing the mid-block rates to effect a 20 percent movement towards flat block rates. The SRP presented its proposed rates in Exhibit ___(SRP-6).

Q. PLEASE PROVIDE EXAMPLES OF THE COMPONENT RATE INCREASES

[12] Staff RDP Direct Testimony at page 42, lines 9 through 10.

PROPOSED BY THE SRP FOR KEDNY CUSTOMERS.

A. From Exhibit ___(SRP-6), page 1 of 4, the SRP proposed the following rate decreases and increases:

- For SC 1B, a decrease of -8.17% for Block 2 and an increase of 19.56% for Block 3.
- For SC 2-2, a decrease of -5.24% for Block 2, a decrease of -1.31% for Block 3, and an increase of 8.56% for Block 4.

The SRP also showed the following bill decreases and increases for SC 1B in its Exhibit ___(SRP-7):

- Bill reductions (decreases) for monthly consumption of 0 - 100 therms.
- Bill increases above 100 therms, rising to 15.43% for customers using 500 therms per month.

Finally, the SRP showed the following bill decreases and increases for SC 2-2 in its Exhibit ___(SRP-7):

- Bill reductions for customers using up to 900 therms per month.
- Bill increases above 900 therms, rising to 7.86% for customers using 13,000 therms per month.

Q. SHOULD THE COMMISSION FOLLOW THE SRP PROPOSED FIRM RATE DESIGN IN THIS CASE?

A. No. I recommend that the SRP's proposed firm rate design be rejected.

Q. PLEASE EXPLAIN WHY THE SRP'S PROPOSED RATE DESIGN SHOULD BE REJECTED.

A. The SRP's recommendation, which aggressively moves the affected classes toward flat rates, does so more quickly than is advisable at this time. Using SC 1B as an example,

Staff's recommended revenue increase for this class is 0.17%. Higher usage customers in SC 1B, say 140 therms per month, would receive an increase of 2.87% per month, while a customer using 83 therms per month would receive a decrease of -2.70% per month. Exhibit ___(SRP-7) shows a rather wide dispersion of decreases and increases from its rate design proposal. These rate deviations are based on Staff's proposed revenue requirements, which have not been adopted yet.

The SRP's stated rationale for its rate design recommendation is that its lower recommended rate increase for KEDNY and its recommended rate decrease for KEDLI justify an aggressive move to flat rates. However, the SRP did not provide any guidance for how its more aggressive rate design would work at higher revenue increases, should the Commission make such a decision. The Staff merely presented several factors that should be considered if the KEDNY revenue requirement increases substantially, which included (1) potentially reducing the movement toward flat rates to mitigate high bill impact, (2) potentially increasing minimum charges, and (3) allocating the increase to the minimum charge and block rate for SC 1BDG and SC 7.[13]

Finally, it is not apparent to me that the SRP evaluated the impact of its more aggressive rate design on lower income users. It is not always the case that residential customers who use less than the class average amount of therms are lower income. Some residential users may live in housing that is less insulated, and/or they may not have the funds to respond to the SRP's price signal by purchasing more insulation or buying more energy efficient appliances, such as home furnaces, ovens, and so forth. The Commission should consider the effect on lower income residential customers, and higher use commercial

[13] Staff RP Direct Testimony, page 43, lines 11 through 19.

customers for that matter, before it adopts the aggressive rate design proposed by the SRP to flatten rates.

STAFF EAM PANEL

Q. WHAT DOES THE STAFF EAM PANEL SAY ABOUT THE PEAK DEMAND REDUCTION EAM?

A. On pages 21-23, the Staff EAM Panel agrees that a peak demand reduction EAM is needed, but disagrees with the Companies' proposed Peak Demand Reduction metric (in particular, Staff disagrees with basing this metric solely on the results of the Companies' demand response program). The Staff EAM Panel suggests that the metric should be based instead on peak-day usage reductions from firm customers on a per-Heating Degree Day basis, to be measured during the month of January or February. Finally, the Panel suggests reserving up to 10 BPs for this metric, and asks parties to recommend possible metrics and target development strategies as part of rebuttal testimony.

Q. WHAT IS YOUR RESPONSE TO THE PANEL?

A. I support a change to the metric. As noted in the NYC Rate Design Panel direct testimony, reduction of peak demand usage by firm customers is a paramount concern given the Companies' declared moratoriums on new service. However, I do not have specific metrics or targets to suggest at this time, and this effort may be better suited for a collaborative involving all parties.

Q. DOES THIS CONCLUDE YOUR REBUTTAL TESTIMONY?

A. Yes.